

Mandatory Audit Of Financial Reporting :
A Failed Strategy For Dealing With Fraud

Dr Karim Jamal

**Professor and Chartered Accountants'
Distinguished Chair in Accounting
University of Alberta**

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Abstract

For three centuries, Anglo-American Governments have been creating regulation and governance reforms (including mandatory audit requirements) in reaction to fraud. The most recent attempt in the U.S. is the Sarbanes-Oxley Act (SOX). The Capital Markets Leadership Task Force Report in Canada (Boritz 2006) is consistent with this philosophy of providing comfort to investors that more mandatory audit procedures can protect them from fraud. I argue in this paper that government regulators have been selling investors a myth that auditing cannot live up to. Mandatory audit is an ineffective procedure for protecting investors from fraud. To protect investors from fraud, regulators can require all publicly traded companies to purchase fraud insurance. An alternative option is to de-regulate auditing, and let auditors find ways to create value for shareholders. The current regulatory system is distorting auditor incentives and has led to a short sighted audit profession. SOX (and the CMLTF report) do not fix any of the structural problems in accounting and auditing.

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Introduction

The Stock market crash in 1929 led the U.S. Congress to enact The Securities Acts of 1932 and 1933 to protect investors from fraud. Similar legislation was then adopted in Canada. With respect to accounting and auditing, the Securities Acts over time helped change Generally Accepted Accounting Principles (GAAP) from a bottom up (consensus based) set of recommendations, into a top down expert driven process enforced by sanctions. In auditing, the Securities Acts created a mandatory auditing requirement for all public companies. After seven decades of regulation, the stock market got overvalued based on extreme enthusiasm for technology stocks (i.e. The Tech Bubble). In 2000, the stock market crashed amidst a wave of fraud. In 2000, the audit profession was also in a mess after a decade of greed (see Toffler 2003).

In the aftermath of the stock market crash in 2000, the U.S Congress enacted the Sarbanes-Oxley Act (SOX) which added to the failed policies of the past: more mandatory audit requirements (including the costly and onerous Section 404 internal control reports from auditors), more costly licensing requirements (further reducing competition in the public accounting industry), and a greater focus on enforcement by the Securities and Exchange Commission (SEC). Like previous cases of stock market bubbles, regulators rushed in after a bubble and tried to create market “confidence” by enacting regulation. The regulators try to create the false belief that the market is under control and that investors are being protected from fraud (Power [1999]). This will hold until the next bubble, and then the regulators will rush to enact new laws to create this same false market “confidence.”

The “logic” of the Capital Markets Leadership Task Force report in Canada (CMLTF Report - Boritz 2006) is similar to the logic that underlies SOX: More regulation is needed, and we need to do more of the same kind of regulatory activity If regulation has been creeping up for seven decades but simply does not work, we need more regulation. If the enforcement is not effective, just pour more resources into enforcement. One can always keep asking for “more” regulation and “more” enforcement forever. If one believes that regulation can cure all the ills of the stock market certainly more regulation (and more enforcement) is the logical response. In a sense, this thinking resembles a tautology. Since the amount of regulation and enforcement is by definition never enough, failure of the market can always lead to a demand for more regulation

and more enforcement. For people who are skeptical of the value of regulation (and/or enforcement), the CMLTF report can be quite frustrating. The CMLTF report attempts to make the case for requiring mandatory audits of interim financial statements (since the U.S. currently requires this but Canada does not), setting up a control framework for internal controls over financial reporting (ICOFR), and a separate control framework for internal control over disclosure (ICOD). The CMLTF report even gets into the detailed mechanics of which audit activity will be conducted in each quarter of the year to micro-manage the audit process (Nanny knows best – see Sunder 2005b). There is a warning here that the audit profession has been slow to heed: While regulation helps audit firms earn income in the short run, it undermines the long run profitability of the audit profession. Regulators can force mandatory procedures on corporate executives, but they can also turn their regulatory approach on the auditors. When the Canadian Public Accountability Board (CPAB) turns around and applies the same “regulation logic” that the auditors like to apply to corporate executives, then the auditors get a taste of their own medicine.

In regards to mandatory audit activity, the most important issue is: Should Canada incorporate a SOX 404 type rule requiring a mandatory audit report on internal control? This is the provision which could add millions of dollars in cost to all Canadian publicly traded companies, and potentially devastate the TSX Venture Exchange whose small publicly traded companies are unlikely to have the resources to comply with such costly regulations.

For a skeptic, who is not convinced about the value of regulation, I argue that the answer is completely obvious. The SOX 404 (internal control audit) is useless if you seek to prevent Enron-style fraud. The key problem in financial markets and especially in cases like Enron is fraud conducted by senior management via accounting manipulation. These executives are capable of overriding all the firm’s internal controls. These executives structure transactions to comply with the letter (but not the spirit) of GAAP. They are often aided in this transaction structuring by their lawyers and auditors. For the largest public corporations, the company pays its auditor (one of the Big 4 audit firms) several million dollars in audit fees. Who will keep these executives honest?

Except for a few die hard SOX believers, most people understand that SOX 404 is a waste of money for publicly traded companies (and a windfall for the audit firms) Now the question is: Would the Canadian regulators have the guts to acknowledge that these SOX rules (especially

Rule 404) are useless and take an independent stand? The answer appears to be yes. On March 10, 2006, The Canadian Securities regulators issued Notice 52-313 which requires Canadian companies to report on internal controls as part of their CEO and CFO certifications. There will be no requirement for a Section 404 type of audit report mandated in Canada¹. Since the Canadian regulators did not wait for the CMLTF report before taking a position on this issue, there is no immediate controversy about what rule Canadian regulators should adopt. The CMLTF report could have taken a position as to whether it agreed or not with the position taken by the Canadian regulators but it chose to dodge this issue by simply reporting the position taken by Canadian regulators. The CMLTF report (Boritz 2006) is thus left with other issues like requiring mandatory audit reports of interim financial statements, specifying the timing when auditors will carry out various internal control evaluation activities, and developing an internal control framework for giving opinions about internal controls and disclosure controls. While the tone of the CMLTF report and its calls for additional mandatory audit procedures (e.g., mandatory audit of interim financial statements) are similar to the argument in favor of rules like SOX 404, these recommendations are less material.

Since there is no attempt by Canadian regulators to follow a SOX route, I would like to discuss the following issues:

- 1) What does the Bubble / Fraud teach us about accounting?
- 2) What does the Bubble / Fraud teach us about auditing?
- 3) What should we do about Management Fraud and Auditor Independence?

1. What Does The Bubble / Fraud Teach Us About Accounting?

A bubble in an asset market means that assets are over-valued, and driven by a speculation frenzy of mass psychology rather than a sober assessment of fundamental value (Shiller [2003]). The fact that major price bubbles associated with fraud can be traced from the early 1700's (south sea bubble) to the stock market crash in 1929, a worldwide stock market crash in 1987, and the dot com bubble in 2001 is very troubling indeed (Banner [2002]). Actually, a milder price bubble occurs virtually in every decade of the twentieth century (e.g., in response to the Savings & Loan crisis in the 1970's, the Junk Bond crisis of the 1980's). These

¹ Companies who desire additional assurance about the quality of their internal controls for internal governance or external signaling purposes can hire an auditor to provide an audit report on internal control. Company CEO's and CFO's who are worried about civil liability may also decide to get a periodic audit done on their internal controls.

major bubbles are usually followed by a burst of government regulation (Banner [2002]). The level of government regulation has been steadily increasing for 300 years.

A bubble occurs because investor expectations are driven by concerns about how other investors will behave rather than by economic fundamentals. This suggests that there is an “information gap” that arises periodically in markets. When a major change occurs in a particular industry (e.g., a change in regulation of the Savings and Loan industry in the 1970’s, or an internet fuelled tech rally in the late 1990’s) there is a potential for market uncertainty and speculation. These periods of market uncertainty raise the potential for fraud. Accounting standard setting boards are thus under great pressure to fill in these periodic information gaps.

The accounting profession has relied on a standard setting process that is top-down (expert-oriented instead of consensus-oriented). This has led to the proliferation of technical standards written in a computer language form (first we start with 10 pages to define all the terms) that are incomprehensible to most people (including most accountants), and create fertile ground for those who want to cheat. The accounting profession has also preferred to have a monopoly standard setter, both nationally and internationally (harmonization). In accounting, there is a mistaken notion that allowing companies any choice in reporting standards will degenerate into chaos and fraud (Dye and Sunder [2001]). This is not what we observe anywhere else in the economy (Jamal and Sunder [2006]).

In addition to setting up a monopoly standard setting board, the accounting profession has attempted to deal with managerial pressure by writing more detailed standards (i.e., rules). Rather than relying on the professional judgment of auditors, analysts, boards of directors and other agents involved in financial reporting (Jamal and Sunder [2006]), standard setting boards have resorted to writing more and more detailed rules (e.g., the new derivatives standard and supporting material in the U.S. is 800 pages long) The standard setters have also tried to make their rules very precise (e.g., use of 3% threshold in special purpose entity rules and thresholds of 75% and 90% in leasing rules). Both the reliance on rules and the reliance on “bright line” thresholds have backfired, as evidenced in the Enron case. On the one hand, the standard setting boards are overwhelmed with requests to “clarify” their rules some more. On the other hand, the detailed guidance makes it easier for management to cheat and structure transactions to get around the rules (Sunder [2005a]). This then triggers even more detailed rules (e.g., revenue

recognition), or substitution of one set of arbitrary thresholds (3% for special purpose entities), with another arbitrary threshold (10%).

The accounting profession has made a mistake in thinking that detailed rules can contain managerial pressure to manipulate accounting numbers. What detailed rules have done is handcuffed the auditors. It is very difficult for an auditor to say “NO”, when a transaction has been carefully structured to comply with an explicit threshold in an accounting standard (Nelson et al., 2002). This in turn forces the auditors to appeal to the emerging issues committee for more “clarification” of the accounting standards. The emerging issues committee is of course happy to oblige. This makes the emerging issues committee more important. This is a vicious and self-defeating game. Over time the auditor cannot exercise any judgment. The only basis for the auditor to say “NO” to management is because of an explicit rule. Management now goes looking for “where does it say I cannot do this?” Over time, the auditor becomes impotent, auditing becomes commodified, and a mentality of literal rule compliance starts to pervade accounting practice. The standard setting board may also have underestimated the ability of management to develop self-serving rationalizations even when accounting rules are very precise (Jamal and Tan [2006]). Managers are very clever at developing rationalizations regardless of the level of precision of accounting rules (Nelson [2003]). There is no evidence that rule precision offers relief from managerial manipulation.

Broad and more vague (principles based) accounting rules do not automatically guarantee better accounting numbers. Management would still have incentive to distort the application of these broad rules (Nelson [2003]). However, the auditors would not be handcuffed, and would have a chance to restrain very self-serving accounting interpretations by management. This indicates we would need an effective audit profession whose task would be to ensure the accounting rules are applied properly. The current proposal from the Accounting Standards Board to align Canadian accounting standards with IAS standards (and not U.S. standards) is a move in the right direction. At least with IAS standards, there is a possibility of restraining improper accounting judgments of management. Since many Canadian companies are cross-listed on U.S. exchanges, offering Canadian companies a choice of IAS GAAP and U.S. GAAP also offers a fascinating opportunity to observe how companies (and investors) react to the choices offered (Sunder [2002]). If the Accounting Standards Board would allow publicly traded companies to use its new proposed (less complex) Canadian GAAP for private companies, then

Canada could provide some very interesting data on the usefulness (or not) of the current system of very complex, and “one right answer” oriented GAAP. It is important that a new Board set up to develop private company GAAP be funded in part by the companies who actually use the resulting GAAP. If Users of GAAP were seen as “customers” of the standard setting board, it is likely to change the relationship between the Board and the users in a positive direction.

Regulators can help improve accounting standard setting by first withdrawing support from the emerging issues committee. This will slow down the amount of detailed guidance available. Auditors should exercise professional judgment and negotiate with their clients, not have a back door to constantly seek a ruling from the emerging issues committee to help them say “No” to their clients.. The regulators should also encourage the standard setting board to allow more ‘bottom-up’ reasoning (professional judgment and allowing for industry specific practice) rather than trying to specify everything in a top-down fashion where everyone is forced in a one standard for all straight jacket².

2. What Does the Bubble / Fraud Teach us about Auditing

There is a large research literature about auditing which is international in scope (see Francis 2004 for an extensive review of audit quality). In terms of normal market operation, auditing seems to be a bargain. Francis (2004) makes the following key four points: (1) While it is hard to precisely define and measure rates of audit failure, it appears that the rate of outright financial statement fraud (audit failure) occurs in less than 1% of public traded companies. (2) Data on audit fees suggests that for publicly traded companies (in the U.S.) audit fees are less than 0.1% of company sales. (3) There is some indication that both companies and the stock market perceive Big 4 accounting firms as being more credible than smaller audit firms, value industry specialization by auditors, and value audit firms who are perceived as being the dominant firm in a particular city (city leader). (4) In countries where modified audit reports are issued (e.g., for going concern or material uncertainties), these modified reports are usually found to be informative to the stock market (Raghunandan [1993]).

The Achilles heel of the audit profession is management fraud. All human activity, including financial reporting, is vulnerable to misbehaviour. Unfortunately, fraud is part of the human condition just like death and taxes. While it is hard to estimate exact rates of material

² In its recent white paper [2005], the CICA appears to be receptive to the argument that private companies should not be subjected to a large volume of complex accounting standards. Whether the CICA actually produces a meaningfully different GAAP for private companies remains to be seen.

financial statement fraud, it appears to occur in less than 1% of publicly traded companies (Francis [2004]). The problem we face is an overreaction by the government to fraud. Governments like to provide comfort to citizens worried about fraud by creating a perception that fraud can be controlled by governance mechanisms (Power [1999]). Since the Securities Acts of 1932 and 1933, government regulators have relied on mandatory audit as a key tool for preventing and detecting fraud. The focus on governance reform has intensified under SOX. Unfortunately, financial statement auditing, as currently practiced, is rather ineffective at detecting fraud. There are almost no cases documented of major frauds brought to light by the external auditor. The government (aided by the audit profession) has set up an “expectations gap” that auditing cannot satisfy (Power [1999]). The audit profession has earned short term profit by promoting audit as a fraud detection tool, but is in the process of undermining the long run viability of the audit profession.

The failure of the audit profession to meet society’s unrealistic expectations about fraud have led to a spiral of litigation, mostly in the U.S. where litigation expenses consume about 20% of audit firm revenue. In countries like Canada, the audit profession has had a free ride with virtually no legal exposure due to the 1997 Supreme Court decision in the Hercules case. This free ride is finally coming to an end due to Bill 198 in Ontario. Ironically, both theoretical and empirical research indicates that the lack of legal liability helped depress audit fees in Canada and made auditing more of a commodity here as compared to countries like the U.S. where auditors face significant legal pressure (Dye [1993]; Khurana and Raman [2004]). A second force leading to commoditization of audit is the over standardization and precision of accounting rules (Jamal, Maier and Sunder [2005]). An attempt by the Auditing Standards Board to copy the Accounting Standards Board and standardize auditing (and add precision to audit standards) helped further the commoditization of the audit. Standardization of audit rules and risk based auditing also make auditing ineffective in detecting fraud. As usual, auditors fail to understand the long term consequences of their actions and have started lobbying against the liability provisions of Bill 198. In the CMLTF Report (Boritz [2006]) the auditors are as usual complaining about legal liability being imposed on them. If the audit profession succeeds in watering down the liability provisions of Bill 198, they will have succeeded in shooting themselves in the foot and will undermine the profitability of auditing in Canada. Next, we should expect auditors to complain that audit is a commodity and audit fees are too low.

The audit profession is also very opaque. While auditors encourage corporate managers to promote transparency, they seem incapable of having any transparency for themselves. This is another instance where the audit profession has been short sighted. The opacity of audit firms makes them vulnerable to attack. The worst example of this was the concerted campaign in the 1990's by the Securities and Exchange Commission (SEC) to attack the consulting services provided by audit firms. Lack of public disclosure of audit and consulting fee data made it difficult for any third party to assess the validity of the SEC's claims and concerns. After the Enron and WorldCom fiasco, the SEC concluded that consulting was the cause of audit failure and SOX banned a range of consulting services. Ironically, release of audit and consulting fee data by SOX has now helped independent researchers to develop overwhelming evidence that the SEC's claims about consulting were incorrect (Kinney et al., [2004]; Ashbaugh et.al [2003]; Zeff [2003 a, b]). The idea that consulting is the main cause of poor audit quality has virtually no empirical support.

Finally, the audit profession seems to be ineffective when normal stock market discipline weakens (during bubble periods). In the 1980's audit firms got embroiled in the savings and Loan crises. Likewise in the 1990's, audit firms got greedy during the dot com bubble and got carried away like everyone else. Auditors appear to collapse in effectiveness when other sources of market discipline collapse. How can we get auditors to be brave and take a tough stand when everyone around them is losing their heads? SOX tries to deal with this by strengthening Boards of Directors though there is no evidence that a Board can resist massive pressure any better than an audit firm.

From an economic perspective, we could argue that an audit system that works most of the time at low cost is a great success. Under extreme duress, no system of governance can work. If investors, management and the entire society become excited, how can auditors alone uphold the integrity of financial reporting? Unfortunately, in our government directed over-reaction regulatory environment, this is not a satisfactory argument. Something has to be done to protect investors from fraud, and something has to be done to stiffen the independence of auditors even under conditions of extreme duress when all other forms of market discipline have collapsed.

3. What Should We Do About Management Fraud and Auditor Independence?

The current audit system is unsustainable. The government regulators, with tacit collusion from the auditing profession, have promoted a myth that the audit profession can protect investors from fraud (Power [1999]). Recent SOX legislation perpetuates this myth by focusing on various governance reforms (e.g., audit committee's and CEO/CFO certifications). The reality is that present day auditing cannot protect us from management fraud. When it becomes clear that the auditor did not stop fraud, the tendency is for the regulator to get angry and go for extreme penalties such as indicting the audit firm (e.g., Arthur Andersen). These actions are turning auditing into a negative lottery. An audit partner faces the prospect of having a lifetime of work and investment in the firm wiped out due to an alleged poor audit by one partner. Once the short term windfall created by SOX 404 internal control work subsides, young audit partners should be looking to exit the audit firm in droves before their lifetime of work and investment gets wiped out by overzealous regulators or one errant partner.

One new trend in risk management is to securitize all risks through insurance or creation of markets to securitize risk (Shiller [2003]). Use of (deposit) insurance to protect against crowd delusion has already been used successfully in the Banking industry. While it was common in the past for a bubble in asset markets to spill over into the banking system (e.g., in 1929), the advent of deposit insurance has helped to stem such panic runs on a Bank. To extend this logic to the stock market, to protect investors from fraud, all publicly traded companies could be required to carry fraud insurance (e.g., Ronen [2002]). Under this proposal, the risk of assessing audit quality would be passed on to an informed intermediary (insurance company) who would stand to suffer a significant loss if a fraud occurred. The insurance company would have incentive to monitor internal control effectiveness, governance, intensity of auditing, and financial reporting aggressiveness of all their clients. Auditors who perform poor audits would be vulnerable to loss of business, as insurance companies refuse to hire poor auditors. If insurance companies were unwilling to take part in such a market, a similar effect could be obtained by having the stock exchange assign an auditor for all large publicly traded companies. The key issue is to have a sophisticated intermediary who stands to lose from fraud choose the auditor. An auditor, who is found to have misbehaved on one audit, should face the possibility of losing an entire portfolio of clients, not just loss of one client. This will force audit partners to monitor the work of their fellow partners. Having a third party appoint the auditor may also

be necessary in a market with significant controlling shareholding such as Canada. Audit committees are likely to be ineffective (or of second order effectiveness at best) in a market with concentrated shareholding.

If the regulators are not willing to give control over the audit appointment to a third party (such as an insurance company), then we need to understand why the audit profession failed in the 1990's and how to prevent a re-occurrence of this failure. In particular, we need to understand why Arthur Andersen failed as an audit firm. Arthur Andersen had been built on the rock solid integrity and reputation of its founder, Mr. Arthur Andersen. Yet within 50 years of the death of Mr. Andersen, the firm collapsed in a wave of accounting scandals. In an industry where an audit firm sells its integrity and reputation, how could a prestigious audit firm squander its legacy and destroy its reputation for short-term gain?

From a theoretical perspective, the behaviour of Arthur Andersen makes no sense. According to economic theory, an audit firm sells its reputation and should try and preserve its good name to maximize long term profit. When the SEC was attacking the audit profession in the 1990s, The American Institute of Certified Public Accountants (AICPA) commissioned a theoretical study to show that it was not in the audit professions interest to pursue short term profit and squander their long term reputation (Antle et al., 1997). The Antle et.al. ([1997]) study argued that the auditor even obtained non-audit services due to their audit reputation and thus would not want their audit reputation to be tarnished. Yet pursuit of short term profit was clearly the main driver of lower audit quality in the 1990's and the audit firms are still excessively focused on short term profit (Gibbins and Jamal [2006]). Why do auditors engage in such self-defeating behaviour?

To get some insight into this question, Jamal and Sunder ([2006]) conducted a study of certification processes in the entire economy. As part of this study, they looked at an un-regulated baseball card certification market. Owners of baseball cards who want to sell their card on the internet can sell it as is (uncertified) or they can get it certified (audited) by an independent certification agency. There are currently twenty three certification agencies competing in this un-regulated market. In the baseball card certification market, we have an opportunity to observe seventeen pure auditors (who only certify baseball cards) as well as six cross-sellers who sell a range of related services (e.g., pricing guides, act as dealers, sell magazines) in addition to certification. The key findings are:

(1) In the baseball card market, some certification agencies grade on a 10 point scale, some on a 20 point scale and some even use a 100 point scale. Some graders even provide sub-grades and qualitative comments to augment their numerical grades. There is competition to provide more informative reports to users. In contrast, audit firms provide standard (boilerplate pass/fail) audit reports. Auditors know a lot about the company's internal control, governance, quality of disclosure and quality of accounting policies but they don't tell the shareholders anything. Why don't auditors find it in their interest to make such disclosures?

(2) Buyers of baseball cards pay a large premium for cards certified by a strict grader. Jamal , Maier and Sunder ([2003]) find a similar result in markets for e-commerce privacy seals as well. In contrast, when the AICPA and CICA tried to enter the e-commerce privacy market (Web-Trust) they did so by developing low quality standards (see Jamal, Maier and Sunder [2003]). Why did the AICPA and CICA think that developing low quality standards was the way to win in selling e-commerce assurance services? Did they think that watering down audit standards in the 1990's would lead to better auditing as well?

(3) Market share of the baseball certification market is dominated by four firms who all cross-sell other services. The remaining firms have small market shares. Cross-selling of services does not lower grading strictness. More profitable graders are also more strict graders. Only one independent rating agency (GEM) has some market share. Ironically, GEM gets its market share by providing rampant grade inflation. A GEM certification yields a negative market return. It is clear that being independent is not a necessary (and not even a sufficient) condition for being successful in this certification market. The market values an auditor who cross-sells services. Yet accounting regulators are trying to ban audit firms from providing consulting services.

Despite being regulated, audit firms engaged in poor enforcement of GAAP, especially in the 1990's. Perhaps the lack of profitability and the lack of a distinctive capability lead to poor audit quality. Perhaps the threat of imminent loss of the consulting arm of Andersen Consulting (and its profits) undermined the integrity of Arthur Andersen (Toffler [2003]). Poor audit quality seems to be driven by lack of profitability of the audit firm. The prosperity of audit firms may be the best prescription for developing audit quality and resisting pressure from management.

A mandatory audit regime makes auditors unresponsive to serving shareholders and creates distorted short term incentives for auditors. A regulated audit profession leads to auditors being more concerned with protecting themselves from lawsuits (e.g., with uninformative boilerplate reports) rather than creating value for shareholders.

Conclusion

SOX (and the recommendations of the CMLTF report – Boritz [2006]) have not done anything fundamental to fix the structural weaknesses in accounting and auditing. To have real change in accounting, standard setters will need to learn the value of ambiguity, allow companies a choice among a set of alternative acceptable accounting treatments (no one right answer), and allow companies to choose which set of standards they wish to use (no monopoly standard setter). In auditing, we need to give up the myth that the auditor can protect us from management fraud. Require public companies to purchase fraud insurance, and let the insurance companies hire the auditors. Otherwise de-regulate auditing completely and let auditors produce reports that are useful to shareholders.

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